

Why Won't Costco Raise the Price of Its \$1.50 Hot Dog?

Runtime: 8:07 narration + 12 s end screen (8:19) **Narrator:** Benji (AI voice) **Words:** ~1,350 **Final script** · Oct 2026

0:00 Cold open: the paradox

Why is a Costco hot dog still a dollar fifty... forty years later?

A top Costco executive once pushed to raise the price. They were losing money on it.

The co-founder's answer?

"If you raise the price of the hot dog, I will kill you."

Think about how strange that is. Since 1985, rent is up. Wages are up. Beef is up. Gas, bread, coffee, houses. A dollar fifty back then is worth more than four and a half dollars today.

And the Costco hot dog? Still a dollar fifty.

Your instinct says that's crazy. When something loses money, you raise the price. That's how business works.

So why has one of the most successful retailers on Earth spent forty years refusing to charge you one cent more for a hot dog?

The answer is one of the smartest business decisions ever made. And it turns out the hot dog was never really the product at all.

Here's why.

0:52 The problem — a price frozen in time

Costco opened its first warehouse in 1983. Within a couple of years, a simple hot dog cart was selling a quarter-pound, all-beef hot dog with a can of soda for one dollar and fifty cents.

That price has fought two enemies ever since.

The first enemy is inflation. Every year, a dollar buys a little less. Today's dollar fifty is worth about a third of what it was in 1985.

The second enemy is cost. Beef, buns, labor, electricity, the cups, the napkins, the mustard. Every single ingredient in that combo has gone up, some of them many times over.

And here's the part that makes it even stranger. Costco didn't just hold the price. It made the deal better. The hot dog got about ten percent bigger. And the twelve-ounce can of soda turned into a twenty-ounce fountain drink with free refills.

And eventually, someone inside Costco said what everyone was thinking.

1:47 The showdown — "Figure it out"

Craig Jelinek, Costco's longtime chief executive, later told a story about going to the company's co-founder, Jim Sinegal.

Jelinek said, "Jim, we can't keep selling this hot dog for a buck fifty. We are losing our rear ends."

He wanted to raise the price, reportedly to a dollar seventy-five.

And Sinegal's answer has become a business legend. As Jelinek told it: "If you raise the price of the hot dog, I will kill you. Figure it out."

Think about that for a second. The founder of a company worth hundreds of billions of dollars, drawing a line in the sand... over a hot dog.

But Sinegal wasn't being sentimental. He'd built Costco on a simple, almost stubborn rule. Costco caps its markup at about fourteen percent on brand-name products and fifteen percent on its own Kirkland brand. Most supermarkets mark things up far more than that.

Sinegal once described raising prices as the business equivalent of taking heroin. You do it once, and then you have to do it again, and again, and again. And the next thing you know, you're not the low-price leader anymore. Raise prices once, and customers start checking. Raise them again, and they start shopping somewhere else.

So the price wasn't going to move. Which meant Costco had to change everything else.

3:07 The fix — rebuild the hot dog from the ground up

Here's where it gets clever.

For years, Costco bought its hot dogs from an outside supplier, the kosher brand Hebrew National. But supplier prices kept climbing, and by the late 2000s Costco was worried the supplier couldn't keep up with its enormous demand.

So Costco did something most companies would never do for a one-dollar-fifty item. In 2009, it dropped Hebrew National. Then it stopped buying hot dogs altogether... and started making them.

It built its own hot dog plant in California, and later a second one in Illinois. No middleman. No supplier markup. The hot dog became a Kirkland Signature product, Costco's own brand. And the new dog was even a little bigger than the old one.

Then there was the soda. In 2013, Costco switched its food courts from Coca-Cola to Pepsi, a deal that helped keep the combo at a dollar fifty.

And in 2025, when Costco switched back to Coca-Cola, the price still didn't budge. A dollar fifty.

Then in 2026, Costco tweaked the combo again, letting members swap the soda for a bottle of water. The price? You already know. A dollar fifty.

Every time costs rose, Costco attacked the cost instead. Anything except the number on the sign.

So why would a giant company build entire factories to protect a hot dog?

4:33 The real product — it was never about the hot dog

The answer is that Costco isn't really in the business of selling you things.

It's in the business of selling you a membership.

Look at the numbers. In fiscal 2025, Costco brought in more than five billion dollars just from membership fees. That's roughly half of the company's entire operating profit. Before you've bought a single item, Costco has already made a huge share of its money.

And the hot dog? In 2025, Costco sold about two hundred and forty-five million hot dog combos. That's around three hundred and sixty-seven million dollars. It sounds like a lot. But for a company with more than two hundred and seventy billion dollars in revenue, it's a rounding error. A tiny fraction of one percent.

So the hot dog doesn't need to make money. It has a different job.

The hot dog is a promise. It's the cheapest, simplest, most visible proof of the deal Costco makes with you: we will not squeeze you. Every dollar-fifty lunch reminds members they're getting a fair deal. And people who feel that keep renewing. More than ninety percent of Costco members in the United States and Canada renew every year.

A hot dog that loses a little money is cheap advertising. A membership that renews for decades is the real treasure.

5:47 The twist — the chicken that cost a fortune

Now this brings us to one of the strangest parts of the whole strategy. Because the hot dog isn't the only thing Costco protects like this.

There's the rotisserie chicken. Five dollars, or to be exact, four ninety-nine. That price has been frozen since 2009. And people buy a lot of them. In fiscal 2025, Costco sold more than a hundred and fifty-seven million rotisserie chickens.

And here's the astonishing part. Costco's former finance chief said the company was willing to give up thirty to forty million dollars a year just to keep that chicken at four ninety-nine.

Most companies would simply raise the price. Costco did the opposite. In 2019, it opened its own enormous chicken operation in Nebraska. A project costing more than four hundred million dollars. Farms, feed, and a processing plant built to supply up to two million chickens every single week.

Think about that. Hundreds of millions of dollars... to protect a five-dollar chicken.

And it's the exact same logic as the hot dog. The chicken usually sits near the back of the store. To reach it, you walk past aisle after aisle of everything else. You came in for a five-dollar chicken. You leave with a cart full of groceries.

The cheap item isn't the product. It's the reason you walked through the door.

7:05 The payoff — what the hot dog really costs

So let's put the whole picture together, and see just how wrong our instinct was.

The dollar-fifty hot dog looks like a mistake. It's not. It's a masterpiece of strategy. Costco builds factories, rewrites supplier deals, and swaps soda brands, all to keep one number frozen in place. Because that number earns something far more valuable than profit. It earns trust.

So the next time you hand over a dollar fifty and wonder how on earth they're making money on this, remember the truth. They're not. And they don't need to.

You're not buying a hot dog. You're renewing your trust.

7:42 Bridge to next video — New Coke

Costco's hot dog proves that customers will love you for refusing to change.

But in 1985, the very same year that dollar-fifty hot dog was born, another American giant learned the opposite lesson the hard way. Coca-Cola changed its formula. In blind taste tests, people actually liked the new one better.

And it still became one of the biggest disasters in business history.

That story is right here.

END SCREEN, last ~15s: video tile → "Why Did New Coke Fail When People Liked It More?" + subscribe button. Until that video is live, use YouTube's "Best for viewer" tile and swap it once New Coke is published — end screens can be edited after upload.

Sources

1. Costco Wholesale Corp., Form 10-K for fiscal year 2025: total revenue \$275.2B, membership fees \$5.32B, operating income ~\$10.4B, renewal rate 92.3% (U.S. & Canada). SEC EDGAR.
2. Costco food court sales of 245.1 million hot dog and soda combos in fiscal 2025 — reported by Mashed, Chowhound and AOL from Costco's annual report.
3. Original 1985 combo (quarter-pound hot dog + 12 oz can of soda) vs. today (10% bigger hot dog + 20 oz fountain soda with refills) — KOMO News, Chowhound.
4. Craig Jelinek's account of Jim Sinegal's "Figure it out" response (told to 425 Business, 2018; Jelinek was CEO 2012–2023) — Business Insider, Today, Fox Business.
5. Costco's switch from Hebrew National to Kirkland Signature hot dogs (2009) and its own hot dog plants in Tracy, California, and Morris, Illinois (second plant from 2018) — Food Republic, The Takeout, Chowhound.
6. Costco's switch from Coca-Cola to Pepsi (2013, to cut costs and protect the \$1.50 price) and back to Coca-Cola (announced by CEO Ron Vachris Jan. 23, 2025; rolled out summer 2025) — ABC News affiliates, Progressive Grocer, Reader's Digest.
7. Jim Sinegal's "heroin" comparison on raising prices — as recounted by Eric Ries; Yahoo Finance.
8. Costco's 14% / 15% markup cap — widely reported; Yahoo Finance.
9. Rotisserie chicken at \$4.99 since 2009, Richard Galanti on being "willing to eat... \$30 to \$40 million a year in gross margin" (Seattle Times, 2015), and the \$400–450 million Nebraska poultry complex in Fremont (opened Sept. 2019, built for up to 2 million chickens/week) — KSL / CNN, WATTagNet, Meatingplace, Supermarket News.
10. New Coke launched April 1985 after winning blind taste tests; withdrawn within ~3 months (bridge teaser — full sourcing in the New Coke video).
11. 2026 combo update (from April 2026) adding a 16.9 oz Kirkland Signature bottled-water option at the same \$1.50 — Axios (May 2026), Boing Boing, Cheapism.
12. 157.4 million rotisserie chickens sold in fiscal 2025, per Costco's annual shareholder report — Tasting Table, AOL.
13. Inflation adjustment: \$1.50 in 1985 ≈ \$4.66 in 2026 (BLS CPI 107.6 → ~334) — U.S. Bureau of Labor Statistics CPI data.